

Oxford Cambridge and RSA Examinations

GCE

Economics

H060/02: Macroeconomics

Advanced Subsidiary GCE

Mark Scheme – Practice Paper (Advanced Level)

Levels-of-Response Descriptors

Level	Knowledge & Understanding / Application	Analysis	Evaluation
Strong	Precision in the use of the terms in the question and applied in a focused way to the context of the question.	An explanation of causes and consequences, fully developing the links in the chain of argument.	A conclusion is drawn weighing up both sides, and reaches a supported judgement.
Good		An explanation of causes and consequences, developing most of the links in the chain of argument.	A conclusion is drawn weighing up both sides, but without reaching a supported judgement.
Reasonable	Awareness of the meaning of the terms in the question and applied to the context of the question.	An explanation of causes and consequences, which omit some key links in the chain of argument.	Some attempt to come to a conclusion, which shows some recognition of the influencing factors.
Limited	Awareness of the meaning of the terms in the question.	Simple statement(s) of cause and consequence.	An unsupported assertion.

Section A: Multiple Choice Answers

Each correct answer is worth 1 mark. Total: 15 marks.

Question	Answer
1	B
2	B
3	D
4	A
5	C
6	B
7	B
8	A
9	B
10	C
11	C
12	A
13	B
14	B
15	D

Rationale for each multiple choice question:

Question 1 Answer: B [1 mark]

- A Cyclical / demand-deficient unemployment
- B Correct: Frictional (transitional) unemployment
- C Structural unemployment
- D Classical / real-wage unemployment

Question 2 Answer: B [1 mark]

- A Proportional tax
- B Correct: Definition of regressive tax
- C Progressive tax
- D Direct tax

Question 3 Answer: D [1 mark]

- A QE increases the money supply
- B QE reduces long-term yields
- C Higher money supply tends to depreciate the currency
- D Correct: Central bank purchases push up bond prices (and lower yields)

Question 4 Answer: A [1 mark]

- A Correct: Definition of trade deficit
- B Budget deficit
- C Different component
- D May contribute to capital inflows but is not the definition

Question 5 Answer: C [1 mark]

- A High inflation, not hyperinflation
- B Sometimes called high or galloping inflation
- C Correct: Generally accepted threshold for hyperinflation
- D Definition of accelerating inflation

Question 6 Answer: B [1 mark]

A Tax-free band as % of income

B Correct: $(£37\,500 \times 0.20) + (£10\,000 \times 0.40) = £7\,500 + £4\,000 = £11\,500$; $£11\,500 / £60\,000 = 19.17\% \approx 19.2\%$

C Marginal rate on second band (not average)

D Tax / income above tax-free band only

Question 7 Answer: B [1 mark]

A Deflator change only

B Correct: Real Y1 = \$200bn, Real Y2 = $231/105 \times 100 = \$220\text{bn}$ → +10%

C Nominal change

D Nominal change rounded

Question 8 Answer: A [1 mark]

A Correct: Attracts hot money inflows → demand for currency rises

B Reduces competitiveness → currency typically depreciates

C Tends to depreciate the currency

D Increases supply of currency on FX market → depreciation

Question 9 Answer: B [1 mark]

A Used wrong rate

B Correct: $\$25\,000 / 1.25 = £20\,000$; $£20\,000 - £14\,000 = £6\,000$

C $\$25\,000 \times 1.25 - 14\,000$ / arithmetic error

D Used £1 = \$1.79 type error

Question 10 Answer: C [1 mark]

A Direct tax on company profits

B Direct tax on income

C Correct: VAT is levied on spending, not income

D Direct tax on earnings

Question 11 Answer: C [1 mark]

A Higher costs → AS left

B Higher costs → AS left

C Correct: More labour supply increases productive capacity → AS right

D Higher costs → AS left

Question 12 Answer: A [1 mark]

A Correct: Definition of open market operations

B A separate monetary policy instrument

C Foreign exchange intervention

D Reserve requirement policy

Question 13 Answer: B [1 mark]

A Often classed as supply-side (incentives to invest)

B Correct: Direct boost to AD via G

C Supply-side

D Supply-side

Question 14 Answer: B [1 mark]

A Approx Year 2 inflation

B Correct: $(117.0 - 113.3)/113.3 \times 100 = 3.27\%$

C Index point change

D Two-year change

Question 15 Answer: D [1 mark]

A $G \times MPC$

B G itself, no multiplier

C Multiplier 3 used (MPS treated as 0.33)

D Correct: Multiplier = $1/(1-0.75) = 4$; $\Delta Y = 4 \times £40bn = £160bn$

Section B: Mark Scheme

Case study: South Africa's Economic Challenges

16 (a) (i) [2 marks]

Question: Using Fig. 1, explain the change in the unemployment rate in South Africa from 2010 to 2022.

Indicative content:

- 1 mark for stating that unemployment has risen / increased over the period.
- 1 mark for accurate quantitative reference (e.g. rose from approx. 24.7% in 2010 to 34.5% in 2022, an increase of about 9.8 percentage points or ~40%).

Mark allocation: AO2 × 2. Quantitative skills rewarded.

16 (a) (ii) [1 marks]

Question: Inflation reached 7.4% in 2022 (lines 11–13). State why this means the SARB has missed its inflation target.

Indicative content (1 mark):

- Inflation reached 7.4% in 2022, which is above the upper bound (6%) of the SARB's 3–6% target range, so the target was missed.

Mark allocation: AO1 × 1.

16 (b) [2 marks]

Question: Using Fig. 2, explain what happened to real GDP growth in South Africa between 2018 and 2020.

Indicative content:

- 1 mark for identifying a sharp fall in real GDP growth (a recession in 2020).
- 1 mark for quantitative reference (growth fell from approx. +1.5% in 2018 to approx. –6.4% in 2020, a fall of around 8 percentage points).

Mark allocation: AO1 × 1, AO2 × 1. Quantitative skills rewarded.

16 (c) [4 marks]

Question: The case study refers to load shedding and high levels of public debt.

Using a diagram, explain what impact these factors may have on economic growth in South Africa.

Indicative content – up to 4 marks:

Up to 2 marks for a correctly labelled diagram:

- Accurate labelling of axes (Price Level on Y, Real GDP / Real National Output on X) and curves (AD, AS). (1)
- Correct shift identified, with new equilibrium price level and real GDP labelled. (1)

Up to 2 marks for explanation:

- Load shedding reduces firms' ability to produce – AS shifts left (rightward shift of costs / reduction in productive capacity). (1)
- High public debt may require higher taxes or reduced spending, further reducing AD; equilibrium real GDP falls / inflation may rise. (1)

Diagram must have correct macro axis labels to be awarded the diagram marks. Accept a PPF shifting inwards / outwards as an alternative diagram where appropriate.

Mark allocation: AO1 × 2, AO2 × 2.

16 (d) [4 marks]

Question: Using information from the case study, explain possible reasons why the South African rand has depreciated against the US dollar.

Indicative content – up to 4 marks:

Up to 2 marks for analytical reasons:

- Fall in demand for the currency (e.g. fewer exports, less FDI). (1)
- Increase in supply of the currency (e.g. more imports, capital outflows, central bank intervention selling reserves). (1)

Up to 2 marks for evidence from the case study:

- Persistent current account deficit / falling commodity export receipts. (1)
- Load shedding deters foreign investors (capital outflows). (1)
- Higher domestic inflation than trading partners.

Allow up to 2 marks for a correct diagram showing decrease in demand and/or increase in supply of the currency on the forex market.

Mark allocation: AO1 × 2, AO2 × 2.

16 (e) [2 marks]

Question: Explain the difference between a budget deficit and a current account deficit.

Indicative content – up to 2 marks:

- A budget deficit is when government spending exceeds tax revenue in a given period (1).
- A current account deficit is when the value of imports (and outflows of income/transfers) exceeds the value of exports (and inflows) on the current account of the balance of payments (1).

One mark for a definition of either term; two marks for a clear distinction.

Mark allocation: AO1 × 2.

16 (f)* [10 marks]

Question: Evaluate the advantages of raising interest rates as a means of controlling inflation in an economy such as South Africa.

Levels-marked question – up to 10 marks.

Indicative content – arguments in favour (advantages of raising interest rates to control inflation):

- Higher bank rate raises the cost of borrowing for households and firms, discouraging credit-financed consumption and investment. C and I fall, shifting AD to the left and reducing demand-pull inflationary pressure.
- Higher interest rates increase the incentive to save rather than spend, again reducing C and AD.
- Higher rates may attract hot money inflows, appreciating the rand and making imports cheaper. This helps with imported inflation from fuel and food.
- If inflation expectations are anchored by a credible SARB, even the announcement of higher rates may reduce wage demands and limit second-round effects.

Indicative content – evaluation / disadvantages and 'it depends' factors:

- Higher rates may reduce growth and increase unemployment further (already 34.5%) – a major social and economic cost.
- Much of South Africa's inflation is cost-push (food, fuel, load shedding), so interest rate rises may be ineffective: they reduce demand without addressing supply-side causes.
- Higher rates increase the cost of servicing public debt (already ~75% of GDP), worsening the fiscal position.

- An appreciating rand may hurt exporters of minerals.
- There is a time lag: monetary policy can take 18–24 months to fully transmit. Inflation may have eased anyway by then.

Levels-of-response (10 marks):

Level 3 (7–10)	Good–strong analysis: developed, coherent chain of reasoning with relevant diagram(s) where appropriate. Strong evaluation with a supported judgement weighing both sides.
Level 2 (4–6)	Reasonable analysis – correct points but mostly as single links rather than developed chains. Reasonable evaluation, some structure, limited supporting evidence.
Level 1 (1–3)	Limited analysis – simple statements of cause/consequence, little reasoning. Limited or no evaluation, an unsupported assertion.
0	No response worthy of credit.

Mark allocation: AO2 × 1, AO3 × 4, AO4 × 5.

Section C: Mark Scheme (Answer EITHER 17 OR 18 — 20 marks)

Question 17* [20 marks]

The South African Reserve Bank (SARB) raised the bank rate from 3.5% to 8.25% between 2021 and 2023 in order to control inflation. Evaluate, using an appropriate diagram(s), the effects of this contractionary monetary policy on the South African government's ability to achieve its macroeconomic objectives.

Indicative content – analysis (advantages / mechanisms):

- Higher interest rates raise the cost of borrowing for households and firms, reducing C and I. AD shifts left, reducing demand-pull inflation toward the 3–6% target.
- Tighter monetary policy can anchor inflation expectations, limiting wage-price spirals and second-round effects.
- Higher rates attract hot money, appreciating the rand and reducing imported inflation (fuel, food).

Indicative content – evaluation / counter-arguments / 'it depends' factors:

- Reduces AD, worsening already extreme unemployment (34.5%) and slowing recovery from the 2020 contraction.
- South Africa's inflation is largely cost-push (oil, food, load shedding); monetary policy targets demand, so may be ineffective.
- Raises the government's debt-servicing costs at a time when debt is around 75% of GDP and the deficit is 5% of GDP.
- An appreciating rand hurts mineral exporters – the country's main forex earners.
- Long transmission lag (12–24 months); may overshoot and cause unnecessary recession.

Levels-of-response (20 marks):

Level 4 (16–20)	Good knowledge; strong, coherent chain of reasoning; predominantly correct diagram(s) integral to the analysis; strong evaluation with a supported judgement weighing both sides.
Level 3 (11–15)	Good knowledge; correct analysis with developed links; relevant diagram(s) linked to the analysis; good evaluation weighing both sides but without a supported overall judgement.
Level 2 (6–10)	Reasonable knowledge; correct analysis largely as single links rather than chains; diagram(s) may be imperfectly labelled; reasonable evaluation with limited supporting evidence.
Level 1 (1–5)	Limited knowledge; limited or no analysis; diagram(s) absent or incorrectly labelled; limited evaluation – unsupported statements.
0	No response worthy of credit.

Mark allocation: AO1 × 3, AO2 × 4, AO3 × 6, AO4 × 7. Quality of extended response () assessed.*

Question 18* [20 marks]

South Africa's official unemployment rate reached 34.5% in 2022, with youth unemployment exceeding 60%. Evaluate, using an appropriate diagram(s), whether persistently high unemployment should be the main macroeconomic concern for any government.

Indicative content – analysis (advantages / mechanisms):

- Persistent high unemployment (34.5%) means large wasted resources – the economy is operating well below its potential output (PPF curve inwards from the maximum).

- Unemployment causes acute social costs: poverty, inequality, social unrest, mental health problems – directly undermining the wellbeing objective.
- High unemployment reduces tax revenue and raises welfare spending, worsening the fiscal deficit.
- Long-term unemployment causes skills atrophy and hysteresis – the country's LRAS itself falls.

Indicative content – evaluation / counter-arguments / 'it depends' factors:

- Other objectives matter too: with inflation at 7.4% (above the 3–6% target), the SARB has a legal mandate for price stability, not employment.
- Sustainable growth and a stable balance of payments are also crucial – focusing only on unemployment may neglect external imbalances.
- Some unemployment is structural (skills, geography) – demand-side policies alone won't solve it; supply-side reforms are needed but take time.
- Pursuing unemployment via expansionary policy could worsen inflation, debt, and the current account – creating other crises.
- Policy priority depends on the country's specific circumstances; in South Africa's case, the social cost of 34.5% unemployment is arguably the largest macro problem.

Levels-of-response (20 marks):

Level 4 (16–20)	Good knowledge; strong, coherent chain of reasoning; predominantly correct diagram(s) integral to the analysis; strong evaluation with a supported judgement weighing both sides.
Level 3 (11–15)	Good knowledge; correct analysis with developed links; relevant diagram(s) linked to the analysis; good evaluation weighing both sides but without a supported overall judgement.
Level 2 (6–10)	Reasonable knowledge; correct analysis largely as single links rather than chains; diagram(s) may be imperfectly labelled; reasonable evaluation with limited supporting evidence.
Level 1 (1–5)	Limited knowledge; limited or no analysis; diagram(s) absent or incorrectly labelled; limited evaluation – unsupported statements.
0	No response worthy of credit.

Mark allocation: AO1 × 3, AO2 × 4, AO3 × 6, AO4 × 7. Quality of extended response () assessed.*

Assessment Objectives Grid

Question	AO1	AO2	AO3	AO4	Total
1 to 15	7	6	2	—	15
16(a)(i)	—	2	—	—	2
16(a)(ii)	1	—	—	—	1
16(b)	1	1	—	—	2
16(c)	2	2	—	—	4
16(d)	2	2	—	—	4
16(e)	2	—	—	—	2
16(f)	—	1	4	5	10
17 or 18	3	4	6	7	20
Total	18	18	12	12	60